

Growth: There were 10 sub-parameters under this category: growth over FY21 in total deposits, alongside three-year (two-year for Bank of Baroda and IDFC First Bank) compounded annual growth rate (CAGR) of total deposits; growth over FY21 in loans and advances, with three-year (two-year for Bank of Baroda and IDFC First Bank) CAGR in loans and advances; growth over FY21 in fee income (commission, exchange and brokerage income plus miscellaneous income), with three-year (two-year for Bank of Baroda and IDFC First Bank) CAGR in fee income; growth over FY21 in operating profit, alongside three-year (two-year for Bank of Baroda and IDFC First Bank) CAGR in operating profit; and absolute increase in market share of deposits and of current account savings account balances.

104 | Size: This had three sub-parameters: size of total deposits, size of operating profits and size of balance sheet as of March 31, 2022.

Strength: This had four overarching sub-parameters, each with further sub divisions:

Quality of assets: Total NPA growth ratio: additions to NPAs during the year as a percentage of average net loans and advances (that is, average of closing balance of FY21 and FY22); NPA coverage: provisioning for NPAs as a percentage of gross NPA closing balance as of March 31, 2022; net NPAs as a ratio of net advances: gross NPAs' closing balance as a net of provisioning as of March 31, 2022, as percentage of net advances; divergence in gross NPAs: difference between gross NPAs as per Reserve Bank of India (RBI) rules and reported by the bank as a percentage of addition to NPAs; divergence in provisioning for NPAs: difference in provision for NPAs as per RBI rules and those reported by the bank as a percentage of reported



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profit before provisions and contingencies; deposits of 20 largest depositors as a percentage of total deposits; advances to 20 largest borrowers as a percentage of total advances; exposure to 20 largest borrowers/customers as a percentage of total exposure.

For rankings based on divergence in gross NPAs and divergence in provisioning for NPAs, banks with divergence of less than 15 per cent and 10 per cent, respectively, were assigned the highest rank. Further, for determining rankings based on the provision coverage ratio parameter, banks with zero NPAs and banks with a provision coverage ratio of 100 per cent were assigned the highest rank.

Productivity and efficiency:

Cost to income ratio: operating

expenditure as a percentage of operating income; cost to average asset ratio: operating expenditure as a percentage of average total assets (that is, average of closing balance of FY21 and FY22); absolute increase in return on assets: basis points increase in return on assets (net profit over total assets) from FY21 to FY22; percentage increase in the ratio of operating profit to total income from FY21 to FY22; profit per employee.

Quality of earnings: Return on assets: ratio of net profit to average total assets (that is, average of closing balance of FY21 and FY22); fee income as a percentage of total income; return on capital employed: reported net profit divided by average net worth (that is, average of closing balance of FY21 and FY22); net interest margin: total inter-